

Alphabet Inc.

GOOGL NASDAQ

Buy	\$340.65 ▼ 0.39%	12M Price Target \$385.00	52-Week Range \$206.20 – \$408.61	Market Cap \$4.17T
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GOOGL: Cooling Off After Rally, But AI Tailwinds Intact

WHAT HAPPENED

- GOOGL slipped 0.4% to \$340.65, extending a 4-day pullback from \$348 — but read this in context: Tech sector is up 3.16% today, so GOOGL is LAGGING. Money rotated hard into Nvidia/semis after NVDA's blowout \$96B quarter and Marvell's data center surge, and traders are trimming the "already-won" mega-caps to chase the semi trade.
- Anthropic reportedly walked away from a \$7B acquisition of custom-chip startup MatX — matters for GOOGL because it signals AI labs are still scrambling for compute, which validates Google's TPU (their in-house AI chip) advantage as a structural moat.

WHY IT MATTERS

The mild sell-off isn't a GOOGL problem — it's a rotation problem. When semis rip, hyperscalers (the big cloud buyers like Google, Amazon, Microsoft) often get sold as "who's paying for all this capex" fears creep in. But here's the inference: massively bullish options flow (put/call ratio of 0.47, meaning traders are buying nearly 3 calls for every put) plus unusual call activity at \$340-342.50 strikes tells me smart money is positioning for a bounce, not a breakdown. The insider "selling" is Sergey Brin's pre-planned 10b5-1 distributions — noise, not signal. Bottom line: this is consolidation after a huge run from \$206 to \$408, and the setup into Q3 earnings looks constructive.

POLICY & POLITICAL WATCH

The big one: the DOJ antitrust remedy phase in the Search monopoly case is the overhang everyone's watching. Under the current administration, the tone has softened from "break up Google" toward behavioral remedies (like default search deal restrictions) — that's a huge de-risking event if it lands that way this fall. Also watch the CHIPS Act 2.0 chatter and the AI executive order framework: Google's TPU manufacturing partnerships and domestic data center buildouts position them to capture federal AI infrastructure dollars, while the EU's Digital Markets Act continues to be the bigger ongoing headwind (roughly 8% of ad revenue exposure).

IS IT EXPENSIVE?

At \$340, GOOGL trades around 34x forward earnings — meaning you're paying \$34 for every \$1 of profit they'll make next year. That's a premium to the S&P 500 (~22x) but a DISCOUNT to Microsoft (~37x) and Meta (~28x adjusted for growth), which is nuts given Google Cloud is growing 30%+ and Gemini is finally showing traction. Translation: you're getting the AI upside for cheaper than peers because the market is still discounting antitrust risk — that's the opportunity.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

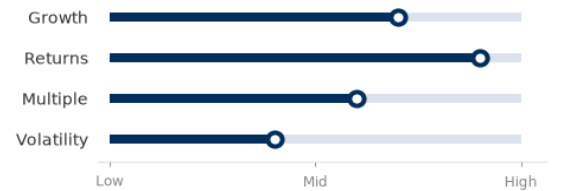
AI-Generated Pre-Market Brief | 2026-08-27 22:30 UTC

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Key Data

Price (USD)	\$340.65
12M Price Target	\$385.00
Upside / (Downside)	+13.0%
Market Cap	\$4.17T
FY2026E Revenue	\$415M
FY2027E Revenue	\$468M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	34.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$360.00	\$345.00	\$325.00
6 Months	\$400.00	\$375.00	\$310.00
1 Year	\$440.00	\$385.00	\$290.00
2 Years	\$520.00	\$430.00	\$275.00
5 Years	\$750.00	\$580.00	\$300.00
10 Years	\$1200.00	\$850.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors and AI infrastructure — NVDA's \$96B print and Marvell's data center strength confirm the capex cycle is still accelerating. Tech broadly is +3% today on the AI enthusiasm.

COOLING OFF: Defensives (Utilities -0.76%, Industrials -0.85%) as risk-on rotation pulls money out of safety trades. Energy weakening on demand concerns.

ROTATION WATCH: Money is flowing from mega-cap hyperscalers INTO the chip suppliers this week — classic "picks and shovels" trade. This usually reverses within 2-4 weeks as investors realize the hyperscalers are the ones actually printing the money.

RELATED PLAY: If you want the second-order bet, data center REITs (EQIX, DLR) and power infrastructure (VRT, GEV) benefit from the same AI buildout GOOGL is funding.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Q2 beat plus strong Q3 guide reinforces they're still the toll-collector on AI compute.
- MRVL (Marvell): Data center revenue surge shows custom silicon demand (relevant because GOOGL's TPU is the same trade internally).

GOOGL CONTEXT: GOOGL is lagging the tech tape today, which is actually the setup I like — it means the stock hasn't gotten ahead of itself, and any positive antitrust headline or strong Cloud print becomes an asymmetric catalyst. Laggards in a strong sector often become the next leaders.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — This is one of the highest-quality risk/reward setups in mega-cap tech; the antitrust discount is the gift.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a surprise DOJ headline doesn't wreck you.

ENTRY POINTS: Add on pullbacks to \$325-335 (roughly the 50-day moving average zone). Today's \$340 is fine for starters but not a fat pitch.

TIME HORIZON: 12-24 months — main catalysts are the DOJ remedy ruling this fall and Q3/Q4 Cloud growth prints.

WHEN TO BAIL: Search ad revenue declines 2 quarters in a row, forced structural divestiture, or Cloud growth drops below 20%.

HEDGING: If you're nervous about antitrust headline risk, buy a cheap 6-month put 10% below the current price — think of it as insurance that costs ~2% of your position for peace of mind.